Role of an Entrepreneur

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Entrepreneurs create and set up businesses

- Businesses are usually started by an **entrepreneur**
- An entrepreneur is a person who is **willing and able to create a new business idea** or invention and **takes risks** in pursuing success
  - Successful entrepreneurs can identify and pursue opportunities, **create value for customers** and build thriving businesses

What do entrepreneurs do?

Organise Resources	Make Business Decisions	Take Risks
• An entrepreneur must be able to gather and **coordinate the resources** necessary to start and operate a business • E.g. When Michael Dell started his computer company from his garage, **he had to organise resources**, such as space, computers, software tools and employees,	• Entrepreneurs must be able to make decisions that will determine the **success or failure of their business** • E.g. A restaurant owner may need to decide what type of food to serve, where to locate the restaurant and **what prices to charge**. These decisions require a combination of market research, creativity and business skill	• Entrepreneurshi involves taking risks — financial, personal or professional • E.g. an entrepreneur may invest their life savings into a new venture or **quit a secure job** to start their own business ○ They may also take risks by **introducing new products** or entering new markets • These risks can pay off with great rewards, but they can also lead to failure and financial loss

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

	lead to wasted resources, lost opportunities and **ultimately business failure**	

Entrepreneurs run and develop existing businesses

- There are many examples of successful entrepreneurs who have been **brought in to run or expand an existing business**
- These individuals bring a unique **entrepreneurial spirit** into the business, which helps to drive it forward and expand

Examples of entrepreneurial CEOs

- **Howard Schultz**
  - In 1982, Schultz was hired by Starbucks as Director of Retail Operations and Marketing
  - He later left to start his own coffee company but **returned to Starbucks** in 1987 as CEO
  - Under his leadership, **Starbucks expanded globally** and became one of the most recognised brands in the world
- **Marissa Mayer** was brought in to lead Yahoo! in 2012 as CEO
  - She implemented several initiatives to revitalise the struggling company, including **acquisitions**, product improvements and a renewed **focus on mobile applications**

Help me understand

Employees demonstrate entrepreneurship within a business

- **Intrapreneurship** refers to the practice of **promoting entrepreneurial thinking and behaviour** within an existing business
  - It involves empowering employees to **think and act like entrepreneurs**
  - The business encourages them to **take risks, innovate and develop new ideas** and projects that may benefit the business

competitive advantage

- This helps to create a **culture** that generates a sense of ownership and engagement among employees, which **increases motivation** and helps to retain top talent
- To promote intrapreneurship, businesses may provide resources to employees or offer **incentives/rewards** for successful projects

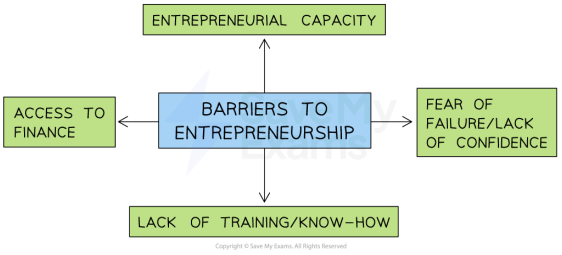
Examples of intrapreneurship

Google	Sony PlayStation	3M
• In 2004, Google introduced Gmail, a **free email service** that quickly gained popularity due to its large storage capacity and intuitive interface • Gmail was developed by a team of Google employees as part of the company's **"20% time" policy** • This policy allows employees to spend 20% of their work time on **personal projects** • Gmail became a **huge success** and is now one of the most widely used email services in the world	• In the early 1990s, a group of **engineers at Sony proposed the idea of creating a video game** console to compete with Nintendo and Sega • Senior management initially rejected the proposal • Sony engineers persisted, and **a senior executive** eventually supported them • **Sony PlayStation** was launched in 1994 and quickly became one of the most popular gaming consoles of all time	• **3M's "15% rule"** is a policy that allows employees to spend up to 15% of their work time pursuing projects outside of their normal job • **Post-It Notes** were developed by two employees, Spencer Silver and Art Fry • Post-It Notes were initially marketed as a solution for bookmarking pages in books, but they quickly became popular for all sorts of purposes • Today, they generate **billions of dollars** in annual revenue for 3M

entrepreneurship

- Entrepreneurship can be a challenging journey, and many barriers can prevent individuals from **starting or growing** a successful business

Significant barriers to entrepreneurship



Identifying barriers to entrepreneurship can help a business or individual overcome them

Entrepreneurial capacity

- Entrepreneurial capacity refers to an individual's ability to think creatively, take risks and identify and seize business opportunities

Access to finance

- Many aspiring entrepreneurs struggle to secure the funding necessary to start or grow their businesses
- Lack of access to finance is a major barrier to entrepreneurship, especially for those from disadvantaged backgrounds

Lack of training/know-how

- Starting and growing a successful business requires a range of skills, including marketing, finance, management and leadership
- Aspiring entrepreneurs may struggle to develop a viable business plan, attract customers or manage their finances effectively

Fear of failure / lack of confidence

- Entrepreneurship is inherently risky
- Entrepreneurs may hold back for fear of failure or a lack of confidence
- They may worry about the financial risks involved in starting a business or fear the stigma of failure

Entrepreneurs anticipate risk and uncertainty

- Risk is something an entrepreneur **can plan for**
  - The **probabilities of outcomes** are known or at least understood and considered

Risk vs. uncertainty

The difference between risk and uncertainty

- Uncertainty is caused by factors **outside of the entrepreneur's control**
- Factors that typically cause uncertainty include:
  - **Environmental factors**, such as the Japanese Tsunami in March 2011
  - **Economic changes**, such as Covid lockdowns, Brexit or collapses in the banking system
  - The entry of new competitors
  - Changes in local and national **legislation (laws)**
  - Changes in the **political party** governing the country
- Successful entrepreneurs can **manage risk and quickly respond to uncertainty** in the business environment

Example: responding to uncertainty

Brian Chesky (Co-founder) & Airbnb Response to the Covid-19 Pandemic
• In 2020, the COVID-19 pandemic caused many people to **cancel their travel plans** and stay home to avoid exposure to the virus • This had a major impact on Airbnb's business • Rather than wait for the pandemic to pass, Chesky quickly **pivoted his business strategy** to meet the changing needs of their customers • Airbnb launched a new service called **"Online Experiences"**, which allowed people to participate in virtual tours, cooking classes and other experiences **from the comfort of their own homes** • Airbnb also took steps to address the health and safety concerns of its customers by **implementing enhanced cleaning protocols** and providing hosts with a guide on how to **prepare their homes for guests** during the pandemic • By quickly pivoting his business strategy and addressing the concerns of his customers, Chesky was able to drive his business forward and **position Airbnb for continued success** in the future

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